

THE INTERN DIARIES

Intern Report

Simple Profit Analysis

WEEK 3 | DAILY JOURNAL ENTRY



LEARNING BY DOING, ONE DAY AT A TIME

SuperStore (RETAIL COMMERCE)

1. Which category earns the most total profit?

Answer: The category that earns most total profit is the “**Technology** “. With a total profit of **\$1,45,455** which is **0.4 %** higher than the Office Supplies Category and a whopping **14.9%** higher than the Furniture Category. These are due to the high profit making sub-categories of Copiers, Phones , Machines and Accessories.

2. Which category earns the least?

Answer: The category that earns the least in the segment is the Office-Supplies with a earning of **\$7,19,047** against the earnings of Furniture and Technology which stand at **\$7,42,000** and **\$8,36,154**.

3. Is a category profitable overall or only on some products?

Answer: Technology which is the most profitable category is overall profitable. Shown below by the table how the Technology category shares the profit and sales with the highest profit coming from the “**Copiers**” and the lowest profit coming from the “**Machines**”.

Sub-Category	Total Profit	Total Sales	Margin	Share of Tech profit	Share of Tech sales
Copiers	\$55,618	\$149,528	37.2%	38.2%	17.9%
Phones	\$44,516	\$330,007	13.5%	30.6%	39.5%
Accessories	\$41,937	\$167,380	25.1%	28.8%	20.0%
Machines	\$3,385	\$189,239	1.8%	2.3%	22.6%
TOTAL	\$145,455	\$836,154	17.4%	100%	100%

4. Does a category earn more because it sells more orders, or because each order is more profitable?

Answer: It depends on the category because:

- Technology earns more because **each order line** is far more profitable, not because it sells more lines.
- Office Supplies earns more due to its **high volume** of order lines, but with **moderate profitability**.
- Furniture earns the least because each order line is **weakly profitable** despite having **decent number** of order lines.

5. What is the average profit order line by category?

Answer: Average profit per order line = Total Profit / Order Lines

Category	Total Profit	Order Lines	Avg Profit / Line
Furniture	\$18,451	2,121	\$8.70
Office Supplies	\$122,491	6,026	\$20.33
Technology	\$145,455	1,847	\$78.75
Company	\$286,397	9,994	\$28.66

- **Office Supplies vs Technology have essentially the same margin (17.0% vs 17.4%)** — yet Technology's per-line profit is ~4× higher. The gap is *pure line size*: Tech lines average **\$453**, Office Supplies lines average **\$119**. So Office Supplies doesn't have a pricing/margin problem; it has a *basket-size* problem (cheap consumables).
- **Furniture has *bigger* lines than Office Supplies (\$350 vs \$119) but earns less than half per line.** Its lines aren't the issue — its **2.5%** margin is. Furniture is bleeding on conversion, not on volume.
- **Technology wins because it's the only category strong on *both* axes** (healthy margin × large lines).